

# Financial Accounting

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**Course:** ATD — Accounting Technicians Diploma

**Level:** Level II

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**Syllabus version:** Based on the standard KASNEB ATD Level II Financial Accounting syllabus topics — building on Level I fundamentals into fuller financial statement preparation, adjustments, and accounting for specific items. Authored from general accounting knowledge and standard syllabus topic coverage, not copied from any existing notes provider or study guide. Cross-check terminology and emphasis against the current KASNEB syllabus and examiner's reports before the exam.

**Original work notice.** Every explanation, worked example, and question in this document was written from scratch for this paper. No text has been copied or paraphrased from any KASNEB past paper, textbook, or third-party notes/study guide. The scenarios and practice questions are original.

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## 1. Recap: the accounting equation and double entry

The accounting equation — **Assets = Liabilities + Capital** — must always balance, and every transaction is recorded using **double entry**: each transaction has a debit entry and an equal, corresponding credit entry. Debits increase assets and expenses (and decrease liabilities, capital and income); credits increase liabilities, capital and income (and decrease assets and expenses).

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## 2. Books of original entry

Transactions are first recorded in a **book of original entry** (also called a book of prime entry) before being posted to the ledger:

- **Sales day book** — records credit sales.
  - **Purchases day book** — records credit purchases.
  - **Cash book** — records cash and bank receipts/payments.
  - **General journal** — records transactions not covered by the other specialised books (e.g. year-end adjustments, correction of errors).
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## 3. Ledger accounts and the trial balance

Entries from the books of original entry are posted to individual **ledger accounts** (one per asset, liability, income, expense or capital item). Periodically, the balances of all ledger accounts are listed in a **trial balance**, which checks that total debits equal total credits — a useful arithmetic check, though it does not guarantee every transaction was recorded correctly (e.g. it won't catch a transaction posted entirely to the wrong accounts, provided debits and credits still match).

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## 4. Year-end adjustments — accruals and prepayments

- **Accrued expense** — an expense incurred during the period but not yet paid or recorded by the year-end; it must be added to the expense for the period and recorded as a current liability.
- **Prepaid expense** — an expense paid during the period that relates, in part, to a future period; the future-period portion must be removed from the current period's expense and recorded as a current asset (prepayment).
- **Accrued income** — income earned but not yet received/recorded by year-end; added to income and recorded as a current asset (receivable).

- **Prepaid (deferred) income** — income received in advance of being earned; the unearned portion is removed from current income and recorded as a current liability.
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## 5. Year-end adjustments — depreciation

**Depreciation** systematically allocates the cost of a non-current (fixed) asset over its useful life, matching the cost against the periods that benefit from using the asset.

- **Straight-line method:** Depreciation per year =  $(\text{Cost} - \text{Residual value}) \div \text{Useful life (years)}$  — an equal charge every year.
- **Reducing balance method:** Depreciation per year = Depreciation rate %  $\times$  Net book value at the start of the year — a larger charge in early years, decreasing over time.

Depreciation is recorded as an expense in the statement of profit or loss and reduces the asset's carrying amount (net book value) in the statement of financial position.

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## 6. Year-end adjustments — bad debts and provision for doubtful debts

A **bad debt** is a specific debt that is confirmed as irrecoverable and is written off directly as an expense. A **provision for doubtful debts** is a general estimate (often a percentage of remaining trade receivables) set aside in anticipation that some currently-outstanding debts may turn out to be uncollectible — an application of the prudence concept, ensuring assets (receivables) are not overstated on the statement of financial position.

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## 7. Preparing the statement of profit or loss

The **statement of profit or loss** shows a business's financial performance over a period:

Revenue – Cost of sales = **Gross profit**

Gross profit – Operating expenses (after adjustments for accruals/prepayments, depreciation, bad debts) = **Profit for the period**

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## 8. Preparing the statement of financial position

The **statement of financial position** shows a business's financial position at a specific point in time:

- **Non-current assets** (at net book value, after depreciation) + **Current assets** (inventory, trade receivables net of any doubtful debt provision, prepayments, cash) =

**Total assets**

- **Capital** (opening capital + profit for the period – drawings) + **Non-current liabilities** + **Current liabilities** (trade payables, accruals) = **Total capital and liabilities**

Total assets must equal total capital and liabilities.

## 9. Full worked question — adjustments and final accounts

**Scenario.** At year-end, a trial balance shows: Rent expense KSh 96,000 (covers 12 months, but KSh 8,000 of this relates to next year, i.e. prepaid); Trade receivables KSh 200,000, against which a provision for doubtful debts of 5% is to be created; Equipment cost KSh 300,000, depreciated at 10% per year on a straight-line basis with no residual value.

**Required:** (a) Compute the rent expense to be charged this year, and the prepayment carried forward. (b) Compute the provision for doubtful debts. (c) Compute the depreciation charge for the year.

**Solution:**

(a) Rent expense for the year = 96,000 – 8,000 (prepaid, relates to next year) = **KSh 88,000**.  
Prepayment carried forward (current asset) = **KSh 8,000**.

(b) Provision for doubtful debts = 200,000 × 5% = **KSh 10,000** (charged as an expense; trade receivables shown net at 200,000 – 10,000 = KSh 190,000 in the statement of financial position).

(c) Depreciation per year (straight-line) = 300,000 ÷ 10 years (10% per year = useful life of 10 years) = **KSh 30,000 per year**.

## 10. Practice examination — KASNEB-style paper (original, not a past paper)

**Note on format.** This section is laid out the way a KASNEB ATD examination paper is laid out — a timed paper with five compulsory 20-mark questions — purely so you can practise under realistic exam conditions. Every question below is an original scenario written for this document. **It is not a reproduction of any actual KASNEB past examination paper.**

### ATD LEVEL II — FINANCIAL ACCOUNTING (PRACTICE PAPER)

#### TIME ALLOWED: 3 HOURS

*Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.*

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**QUESTION ONE**

- (a) State the accounting equation and explain why it must always balance. *(6 marks)*
- (b) Outline the FOUR common books of original entry and what each records. *(12 marks)*
- (c) Explain ONE limitation of a trial balance as a check on accuracy. *(2 marks)*

*(Total: 20 marks)*

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**QUESTION TWO**

- (a) Distinguish between an accrued expense and a prepaid expense. *(8 marks)*
- (b) A business paid insurance of KSh 72,000 during the year, covering 12 months from 1 April. Its year-end is 31 December. Compute the insurance expense for the year and the prepayment carried forward. *(6 marks)*
- (c) Distinguish between accrued income and prepaid (deferred) income. *(6 marks)*

*(Total: 20 marks)*

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**QUESTION THREE**

A company bought machinery for KSh 500,000 with an estimated residual value of KSh 50,000 and a useful life of 9 years.

Required:

- (a) Compute the annual depreciation charge using the straight-line method. *(6 marks)*
- (b) Using the reducing balance method at 20% per year, compute the depreciation charge for the first two years. *(8 marks)*
- (c) Explain ONE difference in the pattern of depreciation charges between the two methods. *(6 marks)*

*(Total: 20 marks)*

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**QUESTION FOUR**

- (a) Distinguish between a "bad debt" and a "provision for doubtful debts." *(8 marks)*
- (b) Trade receivables at year-end are KSh 400,000. A specific debt of KSh 20,000 is to be written off as bad, and a provision of 4% is to be created on the remaining receivables. Compute (i) the bad debt expense, (ii) the provision for doubtful debts, and (iii) the net trade receivables to appear in the statement of financial position. *(12 marks)*

*(Total: 20 marks)*

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### QUESTION FIVE

(a) Outline the structure of a statement of profit or loss, from revenue down to profit for the period. *(10 marks)*

(b) Outline the main elements that make up a statement of financial position, and state the equation that must hold. *(10 marks)*

*(Total: 20 marks)*

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## 11. Marking guide — model answers to the practice examination

### QUESTION ONE

(a) *(6 marks)* — Assets = Liabilities + Capital; it must balance because every transaction is recorded through double entry, with an equal debit and credit, so the two sides always remain equal.

(b) *(12 marks — 3 marks each)* — Sales day book (credit sales); purchases day book (credit purchases); cash book (cash/bank receipts and payments); general journal (other transactions, e.g. adjustments and error corrections).

(c) *(2 marks)* — A trial balance will still balance even if a transaction is posted entirely to the wrong accounts, provided the debit and credit are still equal — it does not guarantee every entry is correct.

### QUESTION TWO

(a) *(8 marks)* — Accrued expense: incurred but not yet paid/recorded, added to expense and shown as a current liability. Prepaid expense: paid but relating partly to a future period, removed from current expense and shown as a current asset.

(b) *(6 marks)* — Insurance covers 1 April to 31 March next year (12 months); at 31 December, 3 months (Jan–Mar next year) are prepaid =  $72,000 \times 3/12 = \text{KSh } 18,000$  prepayment. Expense for the year =  $72,000 - 18,000 = \text{KSh } 54,000$ .

(c) *(6 marks)* — Accrued income: earned but not yet received, added to income and shown as a current asset (receivable). Prepaid/deferred income: received in advance of being earned, the unearned portion removed from current income and shown as a current liability.

### QUESTION THREE

(a) *(6 marks)* —  $(500,000 - 50,000) \div 9 = \text{KSh } 50,000 \text{ per year}$ .

(b) (8 marks) — Year 1:  $500,000 \times 20\% = \text{KSh } 100,000$ ; NBV = 400,000. Year 2:  $400,000 \times 20\% = \text{KSh } 80,000$ ; NBV = 320,000.

(c) (6 marks) — Straight-line gives an equal depreciation charge every year; reducing balance gives a larger charge in early years, decreasing over time as the net book value falls.

#### QUESTION FOUR

(a) (8 marks) — A bad debt is a specific debt confirmed as irrecoverable and written off directly as an expense; a provision for doubtful debts is a general estimate (often a percentage of receivables) set aside for debts that may become uncollectible, without confirming any specific debt as bad.

(b) (12 marks) — (i) Bad debt expense = **KSh 20,000**. (ii) Provision =  $(400,000 - 20,000) \times 4\% = 380,000 \times 4\% = \text{KSh } 15,200$ . (iii) Net trade receivables =  $380,000 - 15,200 = \text{KSh } 364,800$ .

#### QUESTION FIVE

(a) (10 marks) — Revenue – Cost of sales = Gross profit; Gross profit – Operating expenses (after adjustments for accruals/prepayments, depreciation, bad debts) = Profit for the period.

(b) (10 marks) — Non-current assets (net book value) + Current assets (inventory, receivables net of provision, prepayments, cash) = Total assets; Capital (opening + profit – drawings) + Non-current liabilities + Current liabilities = Total capital and liabilities; total assets must equal total capital and liabilities.

## 12. Exam technique and revision checklist

- Accrual/prepayment questions: always identify clearly which portion relates to the current period versus a future/past period before computing the adjusted figure.
- Depreciation questions: state the formula explicitly (straight-line or reducing balance) before substituting numbers, and remember reducing balance uses the *net book value*, not original cost, after year one.
- Bad debts vs provision: a bad debt is specific and written off; a provision is a general, estimated percentage — don't confuse the two in a "distinguish" question.
- Final-accounts questions: always work through adjustments before drafting the final statement of profit or loss and statement of financial position — adjustments almost always affect both statements.
- Statement of financial position: always check your final totals for assets and capital-plus-liabilities actually agree — an imbalance signals an error worth finding before submitting.

**Quick revision — one line per topic:**

1. Accounting equation:  $\text{Assets} = \text{Liabilities} + \text{Capital}$ .
  2. Books of original entry: sales day book, purchases day book, cash book, general journal.
  3. Trial balance checks debits = credits, but doesn't guarantee full accuracy.
  4. Accrued expense/income: not yet paid/received; prepaid expense/income: paid/received in advance.
  5. Straight-line depreciation:  $(\text{Cost} - \text{Residual value}) \div \text{Useful life}$ .
  6. Reducing balance depreciation:  $\text{Rate \%} \times \text{Net book value at start of year}$ .
  7. Bad debt = specific, written off; provision for doubtful debts = general estimate.
  8. Statement of profit or loss:  $\text{Revenue} - \text{Cost of sales} = \text{Gross profit}$ ;  $\text{Gross profit} - \text{Expenses} = \text{Profit}$ .
  9. Statement of financial position:  $\text{Assets} = \text{Capital} + \text{Liabilities}$  (must balance).
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*End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus and examiner's reports for the paper.*